BURNOCK INVESTMENTS (PVT) LTD
And
NEXTWORTH INVESTMENTS (PVT) LTD
Versus
BORROWDALE BROOKE HOME OWNERS ASSOCIATION

HIGH COURT OF ZIMBABWE
V. NDLOVU J
HARARE; 25 September 2025, 6 March 2026

Court Application

J. M. Bamu, for the Applicant
T. N. Nleya, for the Respondent

V. NDLOVU J: The Applicants are approaching this court seeking an inquiry into and a determination of their rights and obligations against the Respondents in terms of section 14 of the High Court Act [*Chapter 7:06]*.

FACTUAL BACKGROUND

The 1st applicant is the registered owner of Stand 1035, being a consolidation of Stands 861 and 862 acquired after 31 December 2007. The 2nd applicant is the registered owner of Stand number 1045, a consolidation of Stands 863, 864 and 865, also acquired after 31 December 2007, at which time a house had been built to roof level.

This matter comes before the court as an application for declaratory relief by members of the Borrowdale Brooke Homeowners' Association, referred to herein as "the Applicants," against the Borrowdale Brooke Homeowners' Association, referred to as "the Respondent." The dispute arises from the Respondent's imposition of what are termed "non-development levies" on properties within the estate.

The Applicants are members of the Respondent by virtue of their ownership of immovable property in Borrowdale Brooke. The Respondent is a voluntary association established under common law, whose constitution and rules govern the management and administration of the estate. In exercise of its powers, the Respondent introduced non-development levies, payable by members whose properties remain undeveloped or are deemed

dormant. The 1st Applicant asserts that he had been paying the non- development levies at the rate of 20% of the monthly levies in terms of the Rules and is up to date on these payments.

The Applicants challenge the legality of these levies. They argue that the Respondent lacks statutory authority to impose charges of this nature. They contend that under the Regional, Town and Country Planning Act [*Chapter 29:12*], only local planning authorities are empowered to levy development-related charges and manage capital development funds. The Respondent, being a homeowners' association and not a local planning authority, is said to have acted *ultra vires* in purporting to impose such levies.

In support of their position, the Applicants rely on judicial precedents that emphasise that compulsory levies must have a clear statutory underpinning. They cite *ZETDC (Pvt) Ltd v Bindura Rural District Council* HH 102/15, where the court held that local authorities may only impose charges authorised by legislation. They further rely on *GTO v Commissioner General Zimra* HH 464/19, and *NetOne Cellular (Pvt) Ltd v Minister of Public Service* HH 211/15, which reinforce the principle that compulsory charges without statutory authority are unconstitutional. The Applicants also argue that even if some authority exists, it is subject to strict limitations, including a maximum threshold of 20% as set out in the Respondent's own rules, and that properties under active development cannot lawfully be subjected to non-development levies.

The Respondent, however, disputes these assertions. It maintains that the Applicants, as members of the association, are contractually bound by its constitution and rules, which expressly authorise the imposition of non-development levies. The Respondent identifies itself as a common law *universitas*, a voluntary association whose powers derive from its written constitution. It relies on *Independent African Church v Maheya* 2000 (1) ZLR 39 at 45, which confirms that the powers of a voluntary association must be sourced from its constitution, and on *Alliance Insurance v Imperial Plastics* SC 30/17, which affirms the sanctity of contracts voluntarily entered into by parties.

The Respondent argues that clause 3.1 of its constitution grants it broad authority to manage and administer the estate, including the imposition of levies necessary for effective governance. Clause 7.1.1 specifically empowers the Trustees to impose non-development levies on undeveloped properties, while clause 9.1 authorises the Trustees to create and amend rules to promote the objectives of the association. The Respondent further contends that the Applicants

were duly notified of the levy, that there is no conflict between its constitution and rules, and that any grievances should be addressed through internal remedies provided for in its governing documents.

The Respondent stresses that membership in the association entails obligations, including the payment of levies, and that the Applicants cannot seek to escape these obligations under the guise of declaratory relief. It submits that the principle of sanctity of contracts requires the court to uphold agreements voluntarily entered into, and that the Applicants' application is vexatious and devoid of merit. The Respondent therefore prays for dismissal of the application with costs.

RELIEF SOUGHT

The Applicant prays for the following relief:

1. The application succeeds.
2. It is hereby declared that Respondent, not being a local planning authority at law, is not entitled to charge non-development levy on its members.
3. It is hereby declared that Clause 7.1.1 of the Respondent's Constitution is void and of no force or effect on account of purporting to bestow on the Respondent a duty to charge non-development related fees which are reserved for Local Planning Authorities in terms of the Regional, Town and Country Planning Act [Chapter 29:12].

CONSEQUENTLY;

4. It is hereby ordered that Applicants are not obliged to pay any non-development levy to Respondent with respect to Stands 1035 and 1045 falling within the purview of Borrowdale Brooke Home Owners Association.

Alternatively, it is hereby declared that:-

5. 2nd Applicant is not obliged to pay non-development levies on Stand 1045 on account of having developed the property.

6. Respondent is not entitled to charge a non-development levy with respect to on-going developments. Consequently, are not obliged to pay any such non-development levy prior to the 31 December 2027 deadline.
7. Rule 9.2.1.2 of Respondent's Rules is void and of no force or effect on account of being in conflict with Clause 7.1. of Respondent's Constitution.
8. Respondent is not entitled to charge non-development levy in excess of 20% of the monthly levy.
9. Respondent shall pay the costs of suit on an attorney-client scale.

ISSUES FOR DETERMINATION

a) Whether or not a non- local planning authority can charge the Applicants non development levy?

APPLICATION OF THE LAW TO THE FACTS

a. Whether or not a non- local planning authority can charge the Applicants non development levy?

The core provision under scrutiny is Clause 7.1.1, which purports to endow the Respondent with the authority to levy non-development fees, an authority contested by the Applicants. Equally, the Applicants challenge whether these levies can be imposed on properties that are actively developed or on properties owned by members who joined after the stipulated deadlines. To dissect the legality of the non-development levies, we turn to the provisions of Clause 7.1.1 of the Respondent's constitution. It states explicitly,

> "7.1.1. The Trustees may from time to time, impose Non-Development Levies upon owners of undeveloped and / or dormant stands. These Non-Development Levies are intended to complement any other remedies approved by the Association and all Non-Development Levies shall be credited to an Estate Capital Development Fund."

The clarity of this provision generates an expectation that such levies would apply strictly to properties that are undeveloped or dormant. However, it is pivotal to determine whether

"undeveloped" and "dormant" status can reasonably be applied to properties for which the owners have undertaken development plans, as is the case for the Applicants.

Evidence clearly establishes that Stand 1045 has been fully developed into a residential house, thus it cannot be classified as "undeveloped" or "dormant." This renders the 2nd Applicant exempt from any claims for non-development levies associated with this property. Furthermore, Stand 1035, owned by the 1st Applicant, is also under active development with a completion deadline set for 31 December 2027, according to the Respondent's regulations.

Clause 7.1.1 presupposes that the non-development levy applies only to properties permanently dormant or for which the owner has no intention to develop. The definition of "develop" according to The Concise Oxford English Dictionary, Twelfth Edition page 392 elucidates that development typically involves converting land for a new purpose, particularly through construction. Thus, properties that are actively being developed cannot reasonably be subjected to non-development levies.

The Respondent's own rules further stipulate limitations on non-development levies. Specifically, Clause 9.2.1 caps these charges at a maximum of 20% of the ordinary monthly levy. The Respondent's practices during the periods of September 2023 to December 2026, and especially the proposed increments of 50%, 100%, 200%, and even 300% of the ordinary levy for subsequent periods, clearly exceed this stipulated limit and lack lawful authority.

As confirmed in Clause 9.1 of the Respondent's Rules, the non-development levy was retroactively intended to penalize members who purchased properties from the developer under agreements mandating that construction be completed by 31 December 2007. Applicants, having acquired their properties post this deadline and it not being challenged, are immune from liabilities concerning non-development levies that accrued before their ownership.

In light of this, the reintroduction of non-development levies in January 2019, with the subsequent deadline for completion set for 31 December 2027, does not contribute to the Respondent's case. Since that deadline lies ahead, the necessity to levy charges on properties undergoing development contradicts the intention behind establishing non-development fees.

Judicial precedents substantiate the Applicants' position, as seen in the ruling of *ZETDC (Pvt) Ltd v Bindura Rural District Council* HH 102/15 at p 1, which confirmed that local authorities can only impose charges as permitted by specific legislative authority. Similarly, the decisions in

GTO v Commissioner General Zimra HH 464/19 and *NetOne Cellular (Pvt) Ltd v Minister of Public Service* HH 211/15 affirm that compulsory charges imposed without statutory authority are unconstitutional.

The limitation set forth in the Respondent's own Rules (Clause 9.2.1), which caps non-development levies at 20% of ordinary monthly levies, further enshrines the Applicant's argument. In the absence of explicit provisions in either the Constitution or Rules of the Respondent permitting charges in excess of this figure, any additional levy levied beyond the stipulated percentages is devoid of legal standing.

As appropriated from the findings in *Gwaradzimba N.O. v CJ Petron & Co. (Pty) Ltd* SC 12/2026 at p.6, once a dispositive issue is determined, it is unnecessary for the court to address every issue raised if the determination suffices in resolving the matter. In this case, the absence of a legally cognizable claim about levies imposed on the Applicants serves as a dispositive factor in favour of their application.

DISPOSITION

In light of the foregoing analysis, l find that the imposition of non- development levy cannot logically apply to properties that do not fit in the definitions of "undeveloped" and "dormant". The application for a declaratory order is granted, and therefore, make the following order.

ORDER

1. 2nd Applicant is not obliged to pay non-development levies on Stand 1045 on account of having developed the property.
2. Respondent is not entitled to charge a non-development levy with respect to ongoing developments. Consequently, are not obliged to pay any such non-development levy prior to the 31 December 2027 deadline.
3. Rule 9.2.1.2 of Respondent's Rules is void and of no force or effect on account of being in conflict with Clause 7.1.of Respondent's Constitution.
4. Respondent is not entitled to charge non-development levy in excess of 20% of the monthly levy.

5. Each party to bear its costs.

V NDLOVU J:

Tsunga Law International, Applicant's legal practitioners
Mangezi, Nleya and Partners, Respondent's legal practitioners